

City of Arkadelphia, Arkansas

Regulatory Basis Financial Statements and Other Reports

December 31, 2019

LEGISLATIVE JOINT AUDITING COMMITTEE



CITY OF ARKADELPHIA, ARKANSAS
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Arkansas

Sen. Jason Rapert
Senate Chair
Sen. Eddie Cheatham
Senate Vice Chair



Rep. Richard Womack
House Chair
Rep. DeAnn Vaught
House Vice Chair

Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE **ARKANSAS LEGISLATIVE AUDIT**

INDEPENDENT AUDITOR'S REPORT

City of Arkadelphia, Arkansas Officials and Council Members
Legislative Joint Auditing Committee

Report on the Financial Statements

We have audited the accompanying regulatory basis financial statements of the general fund, street fund, and other funds in the aggregate of the City of Arkadelphia, Arkansas, as of and for the year ended December 31, 2019, and the related notes to the financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the financial reporting provisions of Ark. Code Ann. § 10-4-412, as described in Note 1, to meet the requirements permitted by the State of Arkansas; this includes determining that the regulatory basis of accounting is an acceptable basis for the preparation of the financial statements in the circumstances. Management is also responsible for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Basis for Adverse Opinion on U.S. Generally Accepted Accounting Principles

As described in Note 1 of the financial statements, the financial statements are prepared by the City on the basis of the financial reporting provisions of Ark. Code Ann. § 10-4-412, which is a basis of accounting other than accounting principles generally accepted in the United States of America, to meet the requirements permitted by the State of Arkansas.

The effects on the financial statements of the variances between the regulatory basis of accounting described in Note 1 and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material.

Adverse Opinion on U.S. Generally Accepted Accounting Principles

In our opinion, because of the significance of the matter discussed in the "Basis for Adverse Opinion on U.S. Generally Accepted Accounting Principles" paragraph, the financial statements referred to above do not present fairly, in accordance with accounting principles generally accepted in the United States of America, the financial position of the City of Arkadelphia, Arkansas, as of December 31, 2019, or the revenues, expenditures, and changes in net position and, where applicable, cash flows thereof for the year then ended.

Unmodified Opinions on Regulatory Basis of Accounting

In our opinion, the financial statements referred to above present fairly, in all material respects, the regulatory basis financial position of the general fund, street fund, and other funds in the aggregate of the City of Arkadelphia, Arkansas, as of December 31, 2019, the regulatory basis revenues, expenditures, and changes in net position, and the budgetary comparisons for the general fund and street fund for the year then ended in accordance with the financial reporting provisions of Ark. Code Ann. § 10-4-412 described in Note 1.

Emphasis of Matter

As discussed in Note 1 to the financial statements, the City would have included another fund under accounting principles generally accepted in the United States of America (GAAP) as established by the *Government Accounting Standards Board*. However, under the regulatory basis, this fund is not required to be included as part of the reporting entity. Our opinions are not modified with respect to this matter.

Other Matters

Supplementary and Other Information

Our audit was conducted for the purpose of forming opinions on the accompanying regulatory basis financial statements. The accompanying supplementary information and other information listed in the table of contents are presented for purposes of additional analysis and are not a required part of the financial statements.

The supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. Such information has been subjected to the auditing procedures applied in the audit of the regulatory basis financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the regulatory basis financial statements as a whole on the basis of accounting described in Note 1.

The other information has not been subjected to the auditing procedures applied in the audit of the regulatory basis financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated October 27, 2020, on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

ARKANSAS LEGISLATIVE AUDIT



Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

Little Rock, Arkansas
October 27, 2020
LOM100219

Arkansas

Sen. Jason Rapert
Senate Chair
Sen. Eddie Cheatham
Senate Vice Chair



Rep. Richard Womack
House Chair
Rep. DeAnn Vaught
House Vice Chair

Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE ARKANSAS LEGISLATIVE AUDIT

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN
AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

INDEPENDENT AUDITOR'S REPORT

City of Arkadelphia, Arkansas Officials and Council Members
Legislative Joint Auditing Committee

We have audited in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the accompanying regulatory basis financial statements of the general fund, street fund, and other funds in the aggregate of the City of Arkadelphia, Arkansas, as of and for the year ended December 31, 2019, and the related notes to the financial statements, and have issued our report thereon dated October 27, 2020. We issued an adverse opinion because the financial statements are prepared by the City on the basis of the financial reporting provisions of Ark. Code Ann. § 10-4-412, which is a basis of accounting other than accounting principles generally accepted in the United States of America. The effects on the financial statements of the variances between the regulatory basis of accounting described in Note 1 and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material. However, with respect to the regulatory basis of accounting described in Note 1, our opinions on the general fund, street fund, and other funds in the aggregate were unmodified.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the City's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

We also reported to management of the City in a separate letter dated October 27, 2020.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the result of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

ARKANSAS LEGISLATIVE AUDIT

A handwritten signature in black ink that reads "Marti Steel". The signature is written in a cursive, flowing style.

Marti Steel, CPA
Deputy Legislative Auditor

Little Rock, Arkansas
October 27, 2020

Arkansas

Sen. Jason Rapert
Senate Chair
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LEGISLATIVE JOINT AUDITING COMMITTEE ARKANSAS LEGISLATIVE AUDIT

MANAGEMENT LETTER

City of Arkadelphia, Arkansas Officials and Council Members
Legislative Joint Auditing Committee

The commentary contained in this letter relates to the following officials who held office during 2019:

Mayor: James Calhoun (Resigned October 1, 2019)
Scott Byrd (Appointed October 15, 2019)
City Manager: Gary Brinkley
Treasurer: Tammy Beeler
Police Chief: Jason Jackson

We would like to communicate the following item that came to our attention during this audit. The purpose of such comment is to provide constructive feedback and guidance, in an effort to assist management to maintain a satisfactory level of compliance with the state constitution, laws and regulations, and to improve internal control. This matter was discussed previously with City officials during the course of our audit fieldwork and at the exit conference.

City Manager

The City opened a line of credit with Southern Bancorp on October 25, 2019, with a maximum amount of \$2,000,000 and a balance at December 31, 2019 of \$500,951 for the purpose of providing financing for general purposes of City government which appears to be in conflict with Ark. Const. Amend. 78 § 2, which limits short-term financing obligations for the purpose of "acquiring, constructing, installing, or renting real property or tangible property having a useful life of more than one year."

This letter is intended solely for the information and use of the Legislative Joint Auditing Committee, the City Council (or local governing body) and City management, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

ARKANSAS LEGISLATIVE AUDIT

A handwritten signature in cursive script that reads "Marti Steel".

Marti Steel, CPA
Deputy Legislative Auditor

Little Rock, Arkansas
October 27, 2020

CITY OF ARKADELPHIA, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2019

Exhibit A

	General	Street	Other Funds in the Aggregate
ASSETS			
Cash and cash equivalents	\$ 529,606	\$ 265,700	\$ 784,452
Investments			554,141
Accounts receivable	266,829	3,514	97,888
Interfund receivables		22,638	
TOTAL ASSETS	<u>\$ 796,435</u>	<u>\$ 291,852</u>	<u>\$ 1,436,481</u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 68,667	\$ 4,156	\$ 6,802
Interfund payables	22,638		
Settlements pending	31,704		108,568
Total Liabilities	<u>123,009</u>	<u>4,156</u>	<u>115,370</u>
Fund Balances:			
Restricted	116,800	67,094	566,424
Committed	134,282		92,774
Assigned	120,506	220,602	661,913
Unassigned	301,838		
Total Fund Balances	<u>673,426</u>	<u>287,696</u>	<u>1,321,111</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 796,435</u>	<u>\$ 291,852</u>	<u>\$ 1,436,481</u>

The accompanying notes are an integral part of these financial statements.

CITY OF ARKADELPHIA, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2019

Exhibit B

	General	Street	Other Funds in the Aggregate
REVENUES			
State aid	\$ 753,154	\$ 768,190	\$ 107,674
Federal aid	2,636,676		
Property taxes	523,690	57,621	
Franchise fees			773,325
Sales taxes	2,159,716		
Fines, forfeitures, and costs	214,202		21,125
Interest	555	33	47,302
Local permits and fees	345,692		
Sanitation fees	1,326,827		
Airport Fees	308,265		
Net increase/(decrease) in fair value of investments			64,598
Other	159,849	38,490	2,775
TOTAL REVENUES	8,428,626	864,334	1,016,799
EXPENDITURES			
Current:			
General government	1,142,175		98,959
Law enforcement	1,842,290		96
Highways and streets	10,131	1,087,939	329,528
Public safety	802,931		129,946
Sanitation	1,265,255		
Recreation and culture	646,262		
Community development	4,454		
Airport	3,341,027		
Total Current	9,054,525	1,087,939	558,529
Debt Service:			
Bond principal			70,000
Bond interest and other charges			144,021
Note principal	110,643	26,592	62,342
Note interest	10,518	1,265	2,473
Line of credit principal	536,246		
Line of credit interest	5,816		
TOTAL EXPENDITURES	9,717,748	1,115,796	837,365

CITY OF ARKADELPHIA, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2019

Exhibit B

	General	Street	Other Funds in the Aggregate
EXCESS OF REVENUES OVER (UNDER)			
EXPENDITURES	\$ (1,289,122)	\$ (251,462)	\$ 179,434
OTHER FINANCING SOURCES (USES)			
Transfers in	690,655		559,944
Transfers out	(53,400)		(1,197,199)
Bond proceeds			3,505,000
Payment to refunding bonds escrow agent			(2,935,000)
Loan proceeds		220,000	
Line of credit proceeds	851,838		
TOTAL OTHER FINANCING SOURCES (USES)	1,489,093	220,000	(67,255)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER)			
EXPENDITURES AND OTHER USES	199,971	(31,462)	112,179
FUND BALANCES - JANUARY 1	473,455	319,158	1,208,932
FUND BALANCES - DECEMBER 31	\$ 673,426	\$ 287,696	\$ 1,321,111

The accompanying notes are an integral part of these financial statements.

CITY OF ARKADELPHIA, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND STREET FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2019

Exhibit C

	General			Street		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 919,640	\$ 753,154	\$ (166,486)	\$ 750,000	\$ 768,190	\$ 18,190
Federal aid	3,312,610	2,636,676	(675,934)			
Property taxes	500,000	523,690	23,690	49,000	57,621	8,621
Sales taxes	2,100,000	2,159,716	59,716			
Fines, forfeitures, and costs	322,850	214,202	(108,648)			
Interest	800	555	(245)	25	33	8
Local permits and fees	364,130	345,692	(18,438)			
Sanitation fees	1,441,000	1,326,827	(114,173)			
Airport Fees	319,440	308,265	(11,175)			
Other	138,800	159,849	21,049	152,100	38,490	(113,610)
TOTAL REVENUES	9,419,270	8,428,626	(990,644)	951,125	864,334	(86,791)
EXPENDITURES						
Current:						
General government	1,872,580	1,142,175	730,405			
Law enforcement	1,914,450	1,842,290	72,160			
Highways and streets		10,131	(10,131)	1,045,890	1,087,939	(42,049)
Public safety	768,140	802,931	(34,791)			
Sanitation	1,352,926	1,265,255	87,671			
Recreation and culture	620,260	646,262	(26,002)			
Community development	46,100	4,454	41,646			
Airport	3,598,150	3,341,027	257,123			
Total Current	10,172,606	9,054,525	1,118,081	1,045,890	1,087,939	(42,049)
Debt Service:						
Note principal	91,984	110,643	(18,659)	41,740	26,592	15,148
Note interest		10,518	(10,518)		1,265	(1,265)
Line of credit principal		536,246	(536,246)			
Line of credit interest		5,816	(5,816)			
TOTAL EXPENDITURES	10,264,590	9,717,748	546,842	1,087,630	1,115,796	(28,166)

CITY OF ARKADELPHIA, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND STREET FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2019

Exhibit C

	General			Street		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (845,320)</u>	<u>\$ (1,289,122)</u>	<u>\$ (443,802)</u>	<u>\$ (136,505)</u>	<u>\$ (251,462)</u>	<u>\$ (114,957)</u>
OTHER FINANCING SOURCES (USES)						
Transfers in	900,000	690,655	(209,345)			
Transfers out	(75,000)	(53,400)	21,600			
Loan proceeds					220,000	220,000
Line of credit proceeds		851,838	851,838			
TOTAL OTHER FINANCING SOURCES (USES)	<u>825,000</u>	<u>1,489,093</u>	<u>664,093</u>		<u>220,000</u>	<u>220,000</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(20,320)	199,971	220,291	(136,505)	(31,462)	105,043
FUND BALANCES - JANUARY 1	<u>86,210</u>	<u>473,455</u>	<u>387,245</u>	<u>326,700</u>	<u>319,158</u>	<u>(7,542)</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 65,890</u></u>	<u><u>\$ 673,426</u></u>	<u><u>\$ 607,536</u></u>	<u><u>\$ 190,195</u></u>	<u><u>\$ 287,696</u></u>	<u><u>\$ 97,501</u></u>

The accompanying notes are an integral part of these financial statements.

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 1: Summary of Significant Accounting Policies

A. Financial Reporting Entity

The City of Arkadelphia was incorporated under the laws of the State of Arkansas and operates under an elected City Manager form of government. The reporting entity includes all funds of the City. Under accounting principles generally accepted in the United States of America (GAAP) as established by the *Government Accounting Standards Board*, the following fund of the City would have been included in the reporting entity: Water and Sewer. However, under Arkansas's regulatory basis described below, inclusion of this fund is not required and this fund is not included in this report.

B. Basis of Presentation – Regulatory

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Ark. Code Ann. § 10-4-412. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and street fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to the actual expenditures for the general and street funds; notes to financial statements; and a supplemental schedule of capital assets.

The regulatory basis of presentation is not in accordance with generally accepted accounting principles (GAAP). GAAP require that basic financial statements present government-wide and fund financial statements. Additionally, GAAP require the following major concepts: Management's Discussion and Analysis, separate financial statements for fiduciary fund types and other requirements for fiduciary fund types, specific procedures for the identification of major governmental funds, and applicable note disclosures. The regulatory basis of presentation does not require government-wide financial statements or the previously identified concepts.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is used to account for and report all financial resources not accounted for and reported in another fund.

Street Fund - The Street Fund (Special Revenue Fund) is used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Street Fund accounts for and reports the proceeds of state highway turnback, and property taxes that are restricted or committed for maintaining and constructing highways and streets.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Street Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. See Schedules 1 and 2 for Special Revenue Funds as reported with other funds in the aggregate.

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlay, including the acquisition or construction of capital facilities and other capital assets. See Schedules 1 and 2 for the Capital Projects Fund reported with other funds in the aggregate.

Debt Service Funds - Debt Service Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for principal and interest. See Schedules 1 and 2 for the Debt Service Fund reported with other funds in the aggregate.

Pension Trust Funds - Pension Trust Funds are used to report resources that are required to be held in trust for the members and beneficiaries of pension plans. See Schedules 1 and 2 for the Pension Trust Fund reported with other funds in the aggregate.

CITY OF ARKADDELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 1: Summary of Significant Accounting Policies (Continued)

B. Basis of Presentation – Regulatory (Continued)

Other Funds in the Aggregate (Continued)

Custodial Funds - Custodial Funds are used to report resources held by the reporting government in a purely custodial capacity (assets equal liabilities). See Schedule 1 for Custodial Funds as reported with other funds in the aggregate.

C. Basis of Accounting - Regulatory

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Ark. Code Ann. § 10-4-412. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues generally are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. However, most state aid received from the State Treasury is by state law revenue of the year in which it was received by the government. Expenditures generally are recorded when a liability is incurred. Liabilities incurred by the government on or before the end of the current period that are paid within 60 days of the end of the current period, are considered to be expenditures of the current period. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements. Pension trust funds are reported in a separate column as a part of supplementary information in order to provide users a better understanding of the entity as a whole.

The regulatory basis of accounting is not in accordance with generally accepted accounting principles (GAAP). GAAP require the following major concepts: Accrual basis of accounting for government-wide financial statements, including depreciation expense, modified accrual basis of accounting for fund financial statements, separate identification of special and extraordinary items, inclusion of capital assets and debt in the financial statements, inclusion of the net pension liability in the financial statements, and applicable note disclosures. The regulatory basis of accounting does not require the previously identified concepts.

D. Assets, Liabilities, and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts, and certificates of deposit.

Investments

Investments are reported at fair value.

Settlements Pending

Settlements pending are considered fines, forfeitures, costs, and other funds that have not been transferred to the appropriate entities.

Fund Balance Classifications

1. Restricted fund balance - amounts that are restricted when constraints placed on the use of resources are either (a) externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments; or (b) imposed by law through constitutional provisions or enabling legislation.
2. Committed fund balance - amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the City Council (passage of an ordinance).
3. Assigned fund balance - amounts that are constrained by the City Council's intent to be used for specific purposes, but are neither restricted nor committed.

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 1: Summary of Significant Accounting Policies (Continued)

D. Assets, Liabilities, and Fund Balances (Continued)

Fund Balance Classifications (Continued)

4. Unassigned fund balance – amounts that have not been assigned to other funds and that have not been restricted, committed, or assigned to specific purposes within the general fund. This classification may also include negative amounts in other governmental funds, if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

E. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 15. Property taxes reflected as revenues on the financial statements include the property tax relief distribution made by the State of Arkansas. The purpose of this distribution is to reimburse the municipality for property tax credits in accordance with Arkansas Code.

F. Budget Law

State law requires that these procedures be followed in establishing the budgetary data:

- a. Prior to December 1, the Mayor submits to the City Council a proposed operating budget for the calendar year commencing the following January 1. The operating budget includes proposed expenditures and the means of financing them.
- b. The proposed budget is discussed at a City Council meeting prior to adoption.
- c. Prior to February 1, the budget is legally enacted by ordinance or resolution of the City Council.
- d. Appropriations lapse at the end of each year.
- e. Under certain conditions, the budget may be amended subsequent to the year-end.

The budgeted revenues and expenditures represent the formal operating budget adopted by the City Council, as amended by the Council during the year.

Basis of Accounting

The City prepared an annual budget on the regulatory basis for the General Fund, Street Fund, and the other operating funds.

G. Fund Balance Classification Policies and Procedures

The Municipality's highest level of decision-making authority is its City Council. The establishment of amounts classified as committed fund balances and any subsequent modifications to such balances are the result of formal action taken by the City Council through passage of an ordinance. The City Council is authorized to assign amounts to a specific purpose, although a formal policy has not been established.

The Municipality does not have a policy addressing whether it considers restricted or unrestricted amounts to have been spent when an expenditure is incurred for purposes for which both restricted and unrestricted amounts are available. For classification of fund balance amounts, restricted resources are considered spent before unrestricted. The Municipality does not have a policy addressing which resources to use within the unrestricted fund balance when committed, assigned, or unassigned fund balances are available. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, committed amounts are reduced first, followed by assigned amounts, and then unassigned amounts.

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 2: Cash Deposits with Financial Institutions

Cash deposits are carried at cost (carrying value). A comparison of the bank balance and carrying value is as follows:

	Carrying Amount	Bank Balance
Insured (FDIC)	\$ 757,426	\$ 830,451
Collateralized:		
Collateral held by the City's agent, pledging bank or pledging bank's trust department or agent in the City's name	439,994	674,739
U.S. government guaranteed accounts	381,538	381,538
Total Deposits	<u>\$ 1,578,958</u>	<u>\$ 1,886,727</u>

The above total deposits do not include cash on hand of \$800.

NOTE 3: Legal or Contractual Provisions for Deposits and Investments

State law generally requires that municipal funds be deposited in federally insured banks located in the State of Arkansas. The municipal deposits may be in the form of checking accounts, savings accounts, and time deposits. Public funds may be invested in eligible investment securities having a maturity of not longer than 5 years from the date of acquisition unless, as documented at the time of acquisition, the investment is to fund or support a specific purpose and there are no expectations that the investment will be sold before maturity; an Arkansas bank certificate of deposit; an account established by a local government joint investment trust; or an Arkansas financial institution repurchase agreement for eligible investment securities in which the seller agrees to repurchase the investment at a price including interest earned during the holding period as determined by the repurchase agreement.

Pension Trust Funds

State law generally requires that pension funds be deposited in banks. Pension funds may be invested in interest-bearing bonds of the United States, of the State of Arkansas, or of the city in which the board is located, in a local government joint investment trust, in the Arkansas Local Police and Fire Retirement System, or in savings and loan associations duly established and authorized to do business in this state. State law also provides that if the total assets of the pension trust fund exceed \$100,000, the board may employ an investment advisor to invest the assets, subject to terms, conditions, limitations, and restrictions imposed by law upon the Arkansas Local Police and Fire Retirement System.

NOTE 4: Public Fund Investments

A summary of investments by fund types is as follows:

Fund Type	December 31, 2019 Fair Value
Pension Trust	<u>\$ 554,141</u>

Investments are reported at fair value. Governmental Accounting Standards Board Statement No. 72, *Fair Value Measurement and Application* establishes a hierarchy based on the valuation assumptions used to measure the fair value of the asset as follows:

- **Level I** – quoted prices in active markets for identical assets
- **Level II** – significant other observable assumptions (e.g., quoted prices for similar instruments in active or inactive markets, etc.)
- **Level III** – significant unobservable assumptions (i.e., prices or valuations using unobservable techniques supported by little or no market activity.)

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 4: Public Fund Investments (Continued)

The City's investments are composed of the following:

<u>December 31, 2019</u>	Quoted Prices in Active Markets for Identical Investments Level I
<u>Investment Type</u>	
Equities	\$ 240,435
Mutual funds	211,221
Fixed income	<u>102,485</u>
Totals	<u>\$ 554,141</u>

The fair value of equities and mutual funds is measured on a recurring basis and is quoted marked prices obtained from independent pricing sources. As a result, these were classified as Level I inputs.

NOTE 5: Accounts Receivable

The accounts receivable balance at December 31, 2019, is composed of the following:

<u>Description</u>	<u>General Fund</u>	<u>Street Fund</u>	<u>Other Funds in the Aggregate</u>
State aid			\$ 11,461
Federal aid	\$ 5,003		
Property taxes	31,945	\$ 3,514	
Franchise fees			84,196
Sales taxes	183,288		
Fines, forfeitures, and costs	9,048		1,437
Interest			794
Local permits and fees	22,260		
Sanitation fees	<u>15,285</u>		
Totals	<u>\$ 266,829</u>	<u>\$ 3,514</u>	<u>\$ 97,888</u>

NOTE 6: Accounts Payable

The accounts payable balance at December 31, 2019, is composed of the following:

<u>Description</u>	<u>General Fund</u>	<u>Street Fund</u>	<u>Other Funds in the Aggregate</u>
Vendor payables	<u>\$ 68,667</u>	<u>\$ 4,156</u>	<u>\$ 6,802</u>

CITY OF ARKADDELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 7: Interfund Balances

Individual fund interfund receivable and payable balances are as follows:

	December 31, 2019	
	Interfund Receivables	Interfund Payables
General Fund		\$ 22,638
Street Fund	\$ 22,638	

Interfund receivables and payables consist of errors in depositing restricted revenues and interfund loans. These balances are expected to be repaid in 2020.

NOTE 8: Federal Funds Program Compliance

The federal grants of the City have not yet received a compliance audit in accordance with federal program requirements and therefore, any instances of noncompliance with federal grant requirements have not been determined. However, a federal compliance audit is currently being conducted. Disbursements that are not in accordance with the federal program requirements are subject to reimbursement by the City.

NOTE 9: Details of Fund Balance Classifications

Fund balance classifications at December 31, 2019, are composed of the following:

Description	General Fund	Street Fund	Other Funds in the Aggregate
Fund Balances:			
Restricted for:			
Law enforcement			\$ 32,863
Highways and streets		\$ 67,094	
Public safety			38,854
Airport	\$ 116,800		
Pension benefits			239,920
Capital outlay			147,909
Debt service			106,878
Total Restricted	116,800	67,094	566,424
Committed for:			
General government	134,282		
Pension benefits			92,774
Total Committed	134,282		92,774
Assigned to:			
General government	2,423		
Highways and streets		220,602	
Airport	118,083		
Pension benefits			239,941
Debt service			421,972
Total Assigned	120,506	220,602	661,913
Unassigned	301,838		
Totals	\$ 673,426	\$ 287,696	\$ 1,321,111

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 10: Legal Debt Limit

A. Property Tax Secured Bonded Debt

The City is subject to a constitutional limitation for bonded indebtedness equal to 20% of the total assessed value for tax purposes of real and personal property as determined by the last tax assessment. At December 31, 2019, the legal debt limit for the bonded debt was \$20,750,198. There were no property tax secured bond issues.

B. Short-term Financing Obligations

The City is subject to a constitutional limitation for short-term financing obligations equal to 5% of the assessed value of taxable property within the City as determined by the last tax assessment. At December 31, 2019, the legal debt limit for short-term financing obligations was \$5,513,779. The amount of short-term financing obligations was \$1,103,655, leaving a legal debt margin of \$4,410,124.

NOTE 11: Commitments

Total commitments consist of the following at December 31, 2019:

	December 31, 2019
Long-term liabilities	\$ 5,124,026
Construction contracts	<u>20,311</u>
Total Commitments	<u><u>\$ 5,144,337</u></u>

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 11: Commitments (Continued)

Long-term liabilities

Long-term liabilities at December 31, 2019 are comprised of the following:

	December 31, 2019
<u>Bonds</u>	
Capital Improvement Refunding and Improvement Revenue Bonds Series 2019 dated July 7, 2019, in the amount of \$3,505,000, annual installments beginning on March 1, 2020, of \$70,000 - \$775,000 plus interest, due March 1, 2020 through March 1, 2044; interest at 3.0% - 3.45%. Payments are to be made from the Revenue Bond Fund.	<u>\$ 3,505,000</u>
<u>Direct Borrowings</u>	
Note payable dated June 3, 2016, with Southern Bancorp in the amount of \$172,604 at 2.12% for the purchase of law enforcement vehicles: (3) 2016 Toyota Camry cruiser (2) Chevy Impala and (1) Chevy Code Enforcement Truck. The City has agreed to make 59 payments of \$3,037 beginning July 1, 2016, and one final payment of \$3,020 on June 1, 2021. The City will use the financed vehicles as collateral. Payments are to be made from the General Fund and Emergency Vehicle Fund.	40,691
Note payable dated December 12, 2016, with Southern Bancorp in the amount of \$246,239 at 1.99% for the purchase of a 2017 Pierce pumper fire truck. The City has agreed to make 59 monthly payments of \$4,318 beginning January 26, 2017, and one last payment estimated at \$4,533. The City has agreed to use the fire truck as collateral. Payments are to be made from the Fire Equipment and Training Fund (Act 833).	101,639
Note payable dated October 6, 2017, with Southern Bancorp in the amount of \$65,000 at 2.24% for the purchase of a 2018 Mack Sanitation truck. The City agreed to make 35 monthly payments of \$1,869, beginning on November 6, 2017, and a final payment of \$1,870 due on October 6, 2020. The City will use the 2018 Mack Truck as collateral for the loan. Payments are to be made from the General Fund.	18,499
Note payable dated October 15, 2017, with Southern Bancorp in the amount of \$163,532 at 3.39% for the construction of a new airport hanger. The City has agreed to make 83 payments of \$2,193 beginning November 15, 2017, and one final payment of \$2,194 on October 15, 2024. The City has agreed to use the Revenue Stream generated from the new hangar as collateral. Payments are to be made from the General Fund.	116,800
Note payable dated July 25, 2018, with Citizens Bank in the amount of \$152,812 at 3.14% for the purchase of a 2016 Mack Sanitation truck. The City has agreed to make 59 monthly payments of \$2,758, beginning on August 25, 2018, and a final payment of \$2,758 due on July 25, 2023. The City will use the 2018 Mack Truck as collateral for the loan. Payments are to be made from the General Fund.	111,917
Note payable dated October 17, 2019, with Southern Bancorp in the amount of \$220,000 at 3.39% for the purchase of a 2019 Elgin Pelican Street Sweeper. The City has agreed to make 60 monthly payments of \$3,996 beginning November 17, 2019, and ending October 17, 2024. The City has agreed to use the street sweeper as collateral. Payments are to be made from the Street Fund.	213,158
Line of Credit dated October 25, 2019, with Southern Bancorp in the maximum amount of \$2,000,000 to provide financing for general purposes of City government. The City has agreed to make 19 payments of \$108,525 beginning on January 5, 2020, and a final payment of \$108,524 on October 5, 2024. The City has agreed to assign the revenue generated by the 2019 sales tax as a collateral. Payments are to be made from the General Fund.	<u>500,951</u>
Total Direct Borrowings	<u>1,103,655</u>
Compensated absences consisting of accrued vacation and sick leave adjusted to current salary cost	<u>515,371</u>
Total Long-term liabilities	<u>\$ 5,124,026</u>

Due to the City's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 11: Commitments (Continued)

Long-term liabilities (Continued)

The City's outstanding bonds payable of \$3,505,000 contain a provision that in an event of default, the Trustee may, and upon written request of the owners of not less than 10% in principal amount of the bonds then outstanding shall, by proper suit compel the performance of the duties of the officials of the City and officials of the State to take any action or obtain any proper relief in law or equity available under the Constitution and laws of the State.

The City's outstanding notes and lines of credit from direct borrowings of \$1,103,655 contain a provision that in an event of default, outstanding amounts, at the Lender's sole option, may be declared immediately due and payable, and the Lender may exercise any rights and remedies, including the right to immediate possession of the collateral, available to it under applicable law.

Post Employment Benefits Other Than Pensions

The amount of any actuarially determined accrued liability for post employment benefits other than pensions was not determined.

Long-Term Debt Issued and Outstanding

Date of Issue	Date of Final Maturity	Rate of Interest	Amount Authorized and Issued	Debt Outstanding December 31, 2019	Maturities to December 31, 2019
<u>Bonds</u>					
7/9/19	3/1/44	3% - 3.45%	\$ 3,505,000	\$ 3,505,000	\$ 0
<u>Direct Borrowings</u>					
6/3/16	6/1/21	2.12%	172,604	40,691	131,913
12/12/16	12/26/21	1.99%	246,239	101,639	144,600
10/6/17	10/6/20	2.24%	65,000	18,499	46,501
10/15/17	10/15/24	3.39%	163,532	116,800	46,732
7/25/18	7/25/23	3.14%	152,812	111,917	40,895
10/17/19	10/17/24	3.39%	220,000	213,158	6,842
10/25/19	10/5/24	3.19%	500,951	500,951	-
Total Direct Borrowings			1,521,138	1,103,655	417,483
Total Long-Term Debt			\$ 5,026,138	\$ 4,608,655	\$ 417,483

Changes in Long-Term Debt

	Balance January 01, 2019	Issued	Retired	Balance December 31, 2019
Bonds payable	\$ 3,005,000	\$ 3,505,000	\$ 3,005,000	\$ 3,505,000
<u>Direct Borrowings</u>				
Notes payable	582,281	220,000	199,577	602,704
Lines of Credit	185,359	851,838	536,246	500,951
Total Direct Borrowings	767,640	1,071,838	735,823	1,103,655
Total Long-Term Debt	\$ 3,772,640	\$ 4,576,838	\$ 3,740,823	\$ 4,608,655

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 11: Commitments (Continued)

Debt Service Requirements to Maturity

The City is obligated for the following amounts at December 31, 2019:

Years Ending December 31,	Bonds			Direct Borrowings		
	Principal	Interest	Total	Principal	Interest	Total
2020	\$ 70,000	\$ 72,343	\$ 142,343	\$ 686,262	\$ 16,026	\$ 702,288
2021	100,000	110,156	210,156	166,673	10,673	177,346
2022	100,000	107,156	207,156	100,465	6,912	107,377
2023	105,000	104,156	209,156	89,958	3,419	93,377
2024	105,000	101,007	206,007	60,297	1,013	61,310
2025 through 2029	600,000	454,781	1,054,781			
2030 through 2034	680,000	359,681	1,039,681			
2035 through 2039	795,000	244,825	1,039,825			
2040 through 2044	950,000	100,609	1,050,609			
Totals	<u>\$3,505,000</u>	<u>\$1,654,714</u>	<u>\$5,159,714</u>	<u>\$1,103,655</u>	<u>\$ 38,043</u>	<u>\$1,141,698</u>

Construction Contracts

The City was contractually obligated for the following construction contracts at December 31, 2019:

Project Name	Completed or Estimated	Contract Balance December 31, 2019
Streetscape	April 30, 2021	\$ 8,816
Trail Master Plan	November 30, 2020	<u>11,495</u>
Total Construction Contracts		<u>\$ 20,311</u>

NOTE 12: Debt Refunding

On July 7, 2019, the City issued \$3,505,000 in Capital Improvement Refunding and Improvement Revenue Bonds, Series 2019, with interest rates of 3 to 3.45 percent to advance refund \$2,935,000 of outstanding bonds issued March 1, 2014, with interest rates of 1 to 4.75 percent. Bond proceeds of \$2,829,129 and additional City funds of \$105,871 were deposited with an escrow agent to advance refund the 2014 bonds and pay related interest and fees. Bond proceeds of \$506,544 were used to finance the costs of capital improvements for the City, including particularly, without limitation, the acquisition, construction and installation of a storm water drainage system and an HVAC system for City Hall. Bond proceeds of \$106,878 were used to establish a debt service reserve. The remaining proceeds of \$62,449 were used for underwriting and costs. The 2014 bonds were called on September 3, 2019.

NOTE 13: Interfund Transfers

Transfers of \$53,400 were made from the General Fund to the Other Funds in the Aggregate (Firemen's Pension) for one-half fire protection dues and interest pursuant to Arkadelphia Ordinance no. 93-2 (August 5, 1993) and one-half fire protection dues, interest, and cell tower lease revenue pursuant to motion passed by the Board of Directors on June 14, 2013. Transfers of \$690,655 were made from Other Funds in the Aggregate to the General Fund for franchise fees from the 2019 Series Revenue Bond Fund. A transfer of \$506,544 was made within Other Funds in the Aggregate in accordance with the issuance of bonds to provide funds for capital projects.

NOTE 14: Subsequent Events

On March 11, 2020, the Governor of Arkansas issued Executive Order 20-03 declaring an emergency and ordered the Arkansas Department of Health to take action to prevent the spread of coronavirus disease 2019 (COVID-19). The extent of the impact of COVID-19 on the financial statements for future reporting periods will depend on certain developments, including the duration and speed of the outbreak, revenue collections, and any other possible issues – all of which are uncertain and cannot be predicted. The financial impact of COVID-19 to the City is uncertain.

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 15: Pledged Revenues

The City pledged future collection of all franchise fees to repay \$3,505,000 in capital improvement revenue refunding bonds that were issued in 2019. These bonds were issued for the purpose of refunding prior capital improvement revenue bonds (baseball and softball fields), Series 2014, and to finance the cost of capital improvements for the City including particularly, without limitation, the acquisition, construction and installation of a storm water drainage system and an HVAC system for City Hall. Franchise fee collections not needed to pay current principal and interest may be used for other City purposes. Total principal and interest remaining on the bonds are \$3,505,000 and \$1,654,714, respectively, payable through March 1, 2044. The City did not make any principal or interest payments on the 2019 Series Revenue Bonds during 2019.

The Debt Service Fund received \$773,325 in franchise fees in 2019, of which excess proceeds of \$690,655 were transferred to the General Fund.

The City pledged future collection of the 1 cent sales tax approved by voters on September 10, 2019, to repay \$2,000,000 in a line of credit loan obtained on October 25, 2019. This loan was obtained for general purpose of the City. Sales tax collections not needed to pay current principal and interest may be used for other City purposes. Total principal remaining on the line of credit is \$500,951 payable through October 5, 2024. The City was not required to make principal or interest payments on the line of credit during 2019. The City will begin collecting the General Fund sales tax approved on September 10, 2019, in January 2020.

NOTE 16: Jointly Governed Organizations

Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc. a/k/a Exchange Parts of Arkansas, Inc., filed for Chapter 11 Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus loan. The remaining balance of the original \$750,000 grant is to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the Clark County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the Committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, the Clark County Quorum Court and the Arkansas Industrial Development Commission. The financial statements of the Reuse Committee have not been audited.

Group “6” Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth (East) Judicial Districts, the Sheriff's Departments of Clark, Grant, and Hot Spring Counties, and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement on July 2, 2019, to continue the Group “6” Narcotics Enforcement Unit (agreement expire on June 30, 2020). Funding is provided through federal and state grants in addition to contributions from the participating entities. The City made salary payments of \$43,526 plus benefits for one agent on behalf of the Group “6” Narcotics Enforcement Unit and was reimbursed \$43,919 for salary, benefits, and fuel expenditures by the Group “6” Narcotics Enforcement Unit. Separate financial statements of the Group “6” Narcotics Enforcement are not available.

Southwest Arkansas Regional Intermodal Authority

Clark, Montgomery, Pike, and Dallas Counties and the Cities of Gurdon, Prescott, Glenwood, Caddo Valley, Murfreesboro, Arkadelphia, and Amity entered into an agreement on May 18, 2010, to establish the Southwest Arkansas Regional Intermodal Authority pursuant to Ark. Code Ann. §§ 14-143-101 – 14-143-129. The Authority shall be governed by a board of directors consisting of 18 members appointed by the participants' Mayors and County Judges. Each participating City will receive one member and each County will receive two members. Annual dues are \$2,000 per County and \$1,000 per City based on \$1,000 for each board member. Dues are payable in January of each year. No other payments were made to, or on behalf of the Southwest Arkansas Regional Intermodal Authority by the City during 2019, other than the annual membership dues of \$1,000. Separate financial statements of the Southwest Arkansas Regional Intermodal Authority are not available.

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 17: Risk Management

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. These risks are covered by commercial insurance purchased from independent third parties and participation in a public entity risk pool. The amount of settlements, if any, has not exceeded the insurance coverage for each of the past three years. There were no significant reductions in insurance coverage in the major categories of risk from coverage in the prior year.

The City participates in the Arkansas Municipal League Program (public entity risk pools) for coverage in the following areas:

Workers' Compensation - This program provides statutory benefits for losses incurred by municipal officials, employees, and volunteer fire fighters while performing work for the municipality. Rates for municipalities participating in this program are revised by class code on an annual basis by the Arkansas Workers' Compensation Commission.

Municipal Vehicle Program

- A. **Liability** - This program may pay all sums the municipality legally must pay as damages because of bodily injury, death or property damage to which this agreement applies involving a covered municipal vehicle and for which the municipality is liable. The limit of payment by the program is as follows: \$25,000 because of bodily injury to or death of one person in any one accident; \$50,000 because of bodily injury to or death of two or more persons in any one accident; and \$25,000 because of injury to or destruction of property of others in any one accident. The City shall pay into the program each year a charge established annually by the program administrator for covered municipal vehicles and self-propelled mobile equipment owned or leased by the City.
- B. **Physical Damage** - This program covers motor vehicles and permanently attached equipment which are the property of the participating municipality. Property is valued at the full cost to repair or replace the property after deduction for depreciation. Loss amounts payable will be reduced by the deductible amount of \$1,000 per occurrence. The City agrees to pay into the program each year a service charge established annually by the program administrator for covered property.

Municipal Legal Defense Program - The program shall, at the sole discretion of the program administrators, provide extraordinary legal defense and extraordinary expenses in suits against municipal officials and employees and civil rights suits against the municipal government of a participating municipality and pay extraordinary judgments (for actual damages – not punitive damages) imposed on municipal officials and employees and the municipal government. The program shall never be liable to reimburse the municipal government, municipal officials, and employees because of judgment in any one lawsuit for more than 25% of the program's available funds at time the lawsuit was filed or the judgment becomes final, or \$1 million, whichever is less. The City agrees to pay into the program each year a charge established by the steering committee. Each city also agrees to pay the first \$3,000 of the aggregate cost for all expenses on each lawsuit. This cost deposit is not refundable.

Municipal Accidental Death and Dismemberment – The program provides benefits for accidental death and dismemberment of municipal officials and department heads. This coverage is limited to \$100,000 per person.

Aviation Ground Operations and Storage Tank Liability Insurance – The program provides for the general premises liability of aviation operations and fuel storage tank liability. This coverage is limited to \$1,000,000 per occurrence.

The City also participates in the Self-Insured Fidelity Bond Program administered by the Governmental Bonding Board. This program covers actual losses sustained by the participating entity through any fraudulent or dishonest act or acts committed by any of the officials or employees, acting alone or in collusion with others, during the bond period to an amount not exceeding the lesser of \$300,000 or the amount of the bond. Premiums for coverage are determined by the State Risk Manager and approved by the Board. These premiums are paid by the State Treasurer from funds withheld from the Municipal Aid Fund. There is a \$2,500 deductible per occurrence.

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
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NOTE 18: Firemen's Pension and Relief Plan

Plan Description

The Firemen's Pension and Relief Plan is a single-employer defined benefit pension plan that covers municipal firemen employed prior to January 1, 1983. The plan, administered by the City, provides retirement, disability, and survivor benefits. Benefit and contribution provisions are established by State law and can be amended only by the Arkansas General Assembly. State law does provide that upon actuarial soundness of the plan, the Board may increase retirement benefits. The plan was closed to new entrants on January 1, 1983. The plan does not issue a stand-alone financial report but is included in the City's financial report.

Contributions

Active participants of the plan are required to make contributions of not less than 6% of their salary to the plan. Active volunteer firemen are required to make contributions of \$12 per year. The City is required by state law to contribute an amount equal to but not less than 6% of the participant's salary and an amount equal to the contribution paid by any volunteer fireman. The plan is also funded with state insurance tax, local outside fire dues, interest on outside fire deposits, and local lease revenue. If the funds in the plan should be insufficient to make full payment of the amount of pensions to all persons entitled, then the funds shall be prorated among those entitled by the proper authorities as may be deemed just and equitable. The City's contribution to the plan was \$53,400 for the year ended December 31, 2019. The requirements of Governmental Accounting Standards Board Statement no. 68, under the regulatory basis of accounting, are limited to disclosure of the City's net pension liability. Based on the December 31, 2019 actuarial valuation, the plan has a net pension liability of \$434,454.

**NOTE 19: Local Police and Fire Retirement System (LOPFI)
(A Defined Benefit Pension Plan)**

Plan Description

The City contributes to the Local Police and Fire Retirement System (LOPFI), an agent multiple employer retirement system that acts as a common investment and administrative agent for cities and towns in Arkansas. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Local Police and Fire Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for LOPFI. That report may be obtained by writing to Arkansas Local Police and Fire Retirement System, 620 W. 3rd, Suite 200, Little Rock, Arkansas 72201, by calling 1-866-859-1745, or on their website www.lopfi-prb.com.

Funding Policy

The employee contribution rate depends on the type of service being rendered and whether or not the service is also covered by Social Security. The different employee contribution rates required by state law are:

- A. Paid service not covered by Social Security: 8.5% of gross pay
- B. Paid service also covered by Social Security: 2.5% of gross pay
- C. Volunteer fire service: no employee contribution

The City is required to contribute at an actuarially determined rate. The contribution requirements of plan members are established and may be amended by State law. The contribution requirements of the City are established and may be amended by the LOPFI Board of Trustees. The plan is also funded with state insurance tax. The City's contribution to the plan was \$96,930 and the amount of insurance tax paid by the state to the plan for the benefit of the City was \$42,211 for the year ended December 31, 2019.

Net Pension Liability

The requirements of Governmental Accounting Standards Board Statement no. 68, under the regulatory basis of accounting, are limited to disclosure of the City's share of the collective net pension liability. The City's proportionate share of the collective net pension liability at December 31, 2019 (actuarial valuation date and measurement date) was \$887,754.

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2019

NOTE 20: Arkansas Public Employees Retirement System

Plan Description

The City contributes to the Arkansas Public Employees Retirement System (APERS), a cost-sharing multiple-employer defined benefit pension plan that covers municipal employees whose municipalities have elected coverage under this System. APERS, administered by a Board of Trustees, provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for APERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, 124 W. Capitol, Suite 400, Little Rock, Arkansas 72201, by calling 1-800-682-7377, or on their website www.apers.org.

Funding Policy

APERS has contributory and non-contributory plans. Contributory members are required by State law to contribute 5% of their salary. Each participating employer is required by State law to contribute at a rate established by the Board of Trustees of the system, based on the annual actuarial valuation. The City's contribution to the plan was \$470,521 for the year ended June 30, 2019.

Net Pension Liability

The requirements of Governmental Accounting Standards Board Statement no. 68, under the regulatory basis of accounting, are limited to disclosure of the City's share of the collective net pension liability. The City's proportionate share of the collective net pension liability at June 30, 2019 (actuarial valuation date and measurement date) was \$3,871,968.

CITY OF ARKADELPHIA, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2019

Schedule 1

	SPECIAL REVENUE FUNDS			CAPITAL PROJECTS FUND	DEBT SERVICE FUND	TRUST FUND
	District Court Cost	Fire Equipment and Training (Act 833)	Emergency Vehicle (Act 988)	2019 Capital Projects	2019 Series Revenue Bond	Firemen's Pension
ASSETS						
Cash and cash equivalents	\$ 29,329	\$ 27,393	\$ 2,097	\$ 154,711	\$ 444,654	\$ 17,700
Investments						554,141
Accounts receivable		11,461	1,437		84,196	794
TOTAL ASSETS	\$ 29,329	\$ 38,854	\$ 3,534	\$ 154,711	\$ 528,850	\$ 572,635
LIABILITIES AND FUND BALANCES						
Liabilities:						
Accounts payable				\$ 6,802		
Settlements pending						
Total Liabilities				6,802		
Fund Balances:						
Restricted	\$ 29,329	\$ 38,854	\$ 3,534	147,909	\$ 106,878	\$ 239,920
Committed						92,774
Assigned					421,972	239,941
Total Fund Balances	29,329	38,854	3,534	147,909	528,850	572,635
TOTAL LIABILITIES AND FUND BALANCES	\$ 29,329	\$ 38,854	\$ 3,534	\$ 154,711	\$ 528,850	\$ 572,635

CITY OF ARKADELPHIA, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2019

Schedule 1

CUSTODIAL FUNDS

	Police Bond and Fine	Building in Transit	Parks in Transit	Payroll	Administration of Justice	Totals
ASSETS						
Cash and cash equivalents	\$ 6,576	\$ 19,080	\$ 3,990	\$ 78,871	\$ 51	\$ 784,452
Investments						554,141
Accounts receivable						97,888
TOTAL ASSETS	\$ 6,576	\$ 19,080	\$ 3,990	\$ 78,871	\$ 51	\$ 1,436,481
LIABILITIES AND FUND BALANCES						
Liabilities:						
Accounts payable						\$ 6,802
Settlements pending	\$ 6,576	\$ 19,080	\$ 3,990	\$ 78,871	\$ 51	108,568
Total Liabilities	6,576	19,080	3,990	78,871	51	115,370
Fund Balances:						
Restricted						566,424
Committed						92,774
Assigned						661,913
Total Fund Balances						1,321,111
TOTAL LIABILITIES AND FUND BALANCES	\$ 6,576	\$ 19,080	\$ 3,990	\$ 78,871	\$ 51	\$ 1,436,481

CITY OF ARKADELPHIA, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2019

Schedule 2

	SPECIAL REVENUE FUNDS			CAPITAL PROJECTS FUND	DEBT SERVICE FUND	TRUST FUND	
	District Court Cost	Fire Equipment and Training (Act 833)	Emergency Vehicle (Act 988)	2019 Capital Projects	2019 Series Revenue Bond	Firemen's Pension	Totals
REVENUES							
State aid		\$ 66,825				\$ 40,849	\$ 107,674
Franchise fees					\$ 773,325		773,325
Fines, forfeitures, and costs	\$ 5,979		\$ 15,146				21,125
Interest		21		\$ 2,547	30,102	14,632	47,302
Net increase/(decrease) in fair value of investments						64,598	64,598
Other					2,775		2,775
TOTAL REVENUES	5,979	66,846	15,146	2,547	806,202	120,079	1,016,799
EXPENDITURES							
Current:							
General government				31,654	67,305		98,959
Law enforcement	96						96
Highways and streets				329,528			329,528
Public safety						129,946	129,946
Total Current	96			361,182	67,305	129,946	558,529
Debt Service:							
Bond principal					70,000		70,000
Bond interest and other charges					144,021		144,021
Note principal		49,342	13,000				62,342
Note interest		2,473					2,473
TOTAL EXPENDITURES	96	51,815	13,000	361,182	281,326	129,946	837,365
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	5,883	15,031	2,146	(358,635)	524,876	(9,867)	179,434
OTHER FINANCING SOURCES (USES)							
Transfers in				506,544		53,400	559,944
Transfers out					(1,197,199)		(1,197,199)
Bond proceeds					3,505,000		3,505,000
Payment to refunding bonds escrow agent					(2,935,000)		(2,935,000)
TOTAL OTHER FINANCING SOURCES (USES)				506,544	(627,199)	53,400	(67,255)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	5,883	15,031	2,146	147,909	(102,323)	43,533	112,179
FUND BALANCES - JANUARY 1	23,446	23,823	1,388		631,173	529,102	1,208,932
FUND BALANCES - DECEMBER 31	\$ 29,329	\$ 38,854	\$ 3,534	\$ 147,909	\$ 528,850	\$ 572,635	\$ 1,321,111

CITY OF ARKADELPHIA, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2019

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
District Court Cost	Ark. Code Ann. § 16-17-126 authorizes District Court filing fees for writs of garnishment and executions to be appropriated for any permissible use in the administration of the District Court.
Fire Equipment and Training (Act 833)	Ark. Code Ann. §§ 14-284-403, 404 requires insurance premium tax funds to be distributed by the County to municipal fire departments for training, purchase and improvement of fire fighting equipment, initial capital construction or improvements of fire departments, insurance for buildings, and utilities costs.
Emergency Vehicle (Act 988)	Ark. Code Ann. § 27-22-103 established fund for the fine for failure to insure motor vehicles to be used for the purchase and maintenance of rescue, emergency medical, and law enforcement vehicles, communication equipment, animals owned or used by law enforcement agencies, life-saving medical apparatus, and law enforcement apparatus.
2019 Capital Projects	Arkadelphia Ordinance no. 19-03 (May 19, 2019) established fund to account for construction costs of a storm water drainage system and an HVAC for City Hall.
2019 Series Revenue Bond	Arkadelphia Ordinance no. 19-03 (May 21, 2019) authorized the issuance of Capital Improvement Refunding and Improvement Revenue Bonds, series 2019. The fund was established to receive franchise fees and pay debt service requirement on the bonds.
Firemen's Pension	Ark. Code Ann. § 24-11-801 established fund to receive property taxes, state aid, and other revenues allowed by law for support of firefighter retirement programs.
Police Bond and Fine	Ark. Code Ann. § 16-10-204 established account to receive fines, forfeitures, and costs collected by the Police Department.
Building in Transit	Established to account for revenues generated from City Permits Department.
Parks in Transit	Established to account for revenues generated from City Parks Department.
Payroll	Established to process payroll of all employees.
Administration of Justice	Ark. Code Ann. § 16-10-308 established fund to receive the city's share of uniform court costs and filing fees levied by state law to be used to defray a part of the expenses of the administration of justice in the city.

CITY OF ARKADELPHIA, ARKANSAS
OTHER INFORMATION
SCHEDULE OF CAPITAL ASSETS
DECEMBER 31, 2019
(Unaudited)

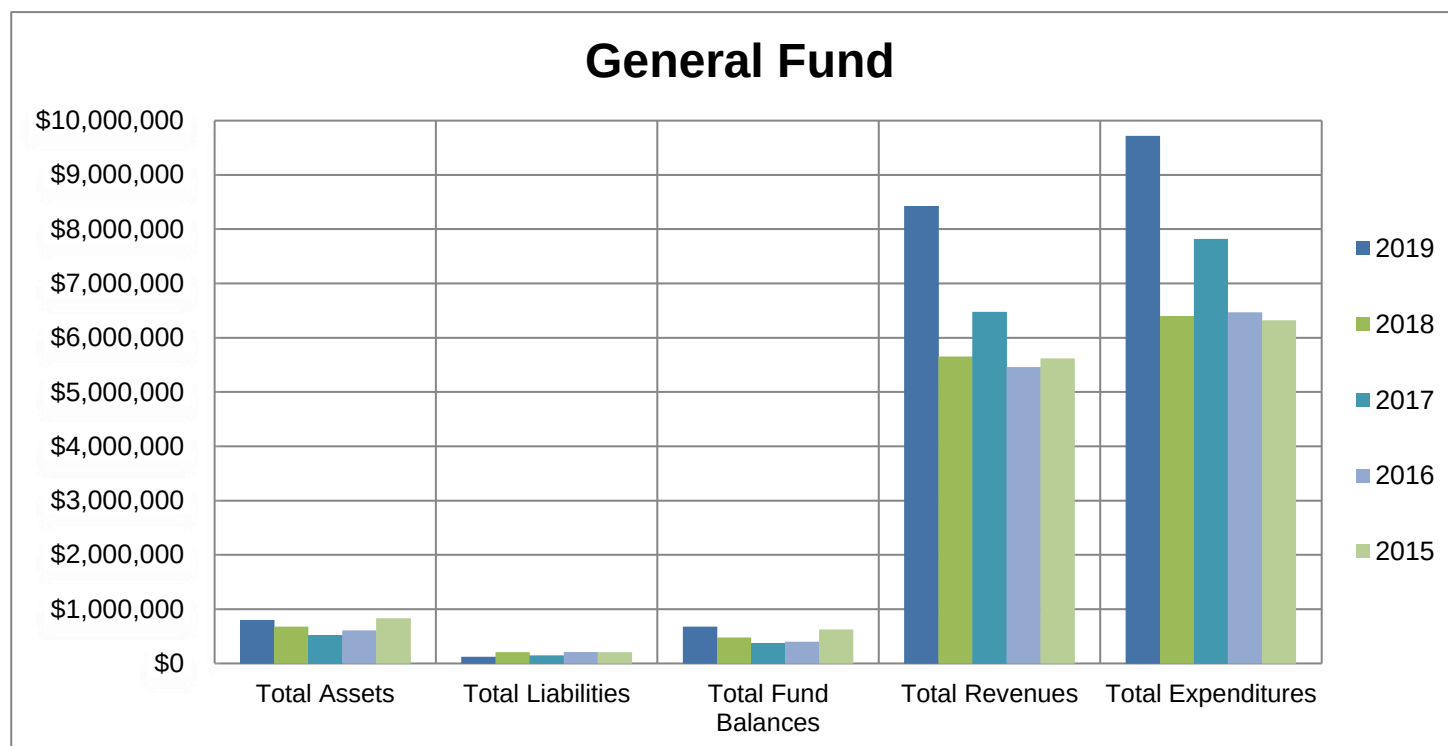
Schedule 3

	December 31, 2019
Land	\$ 584,174
Buildings	9,897,232
Equipment	7,786,917
Improvements	6,424,161
Construction in progress	196,332
Total	<u><u>\$ 24,888,816</u></u>

CITY OF ARKADELPHIA, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - GENERAL FUND - REGULATORY BASIS
DECEMBER 31, 2019
(Unaudited)

Schedule 4-1

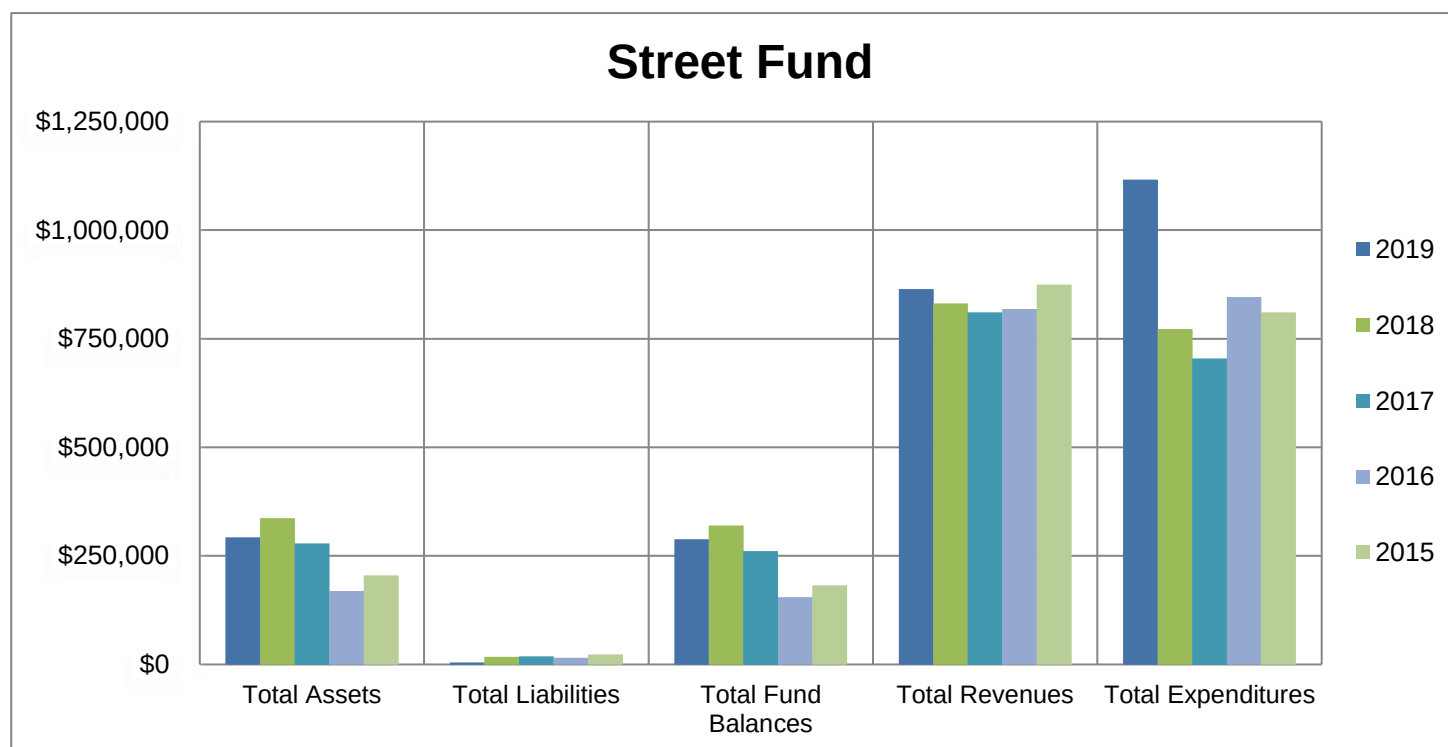
<u>General</u>	2019	2018	2017	2016	2015
Total Assets	\$ 796,435	\$ 677,801	\$ 521,055	\$ 607,143	\$ 829,018
Total Liabilities	123,009	204,346	143,984	211,101	204,724
Total Fund Balances	673,426	473,455	377,071	396,042	624,294
Total Revenues	8,428,626	5,650,130	6,476,143	5,457,919	5,615,293
Total Expenditures	9,717,748	6,398,973	7,818,528	6,463,122	6,319,396
Total Other Financing Sources/Uses	1,489,093	845,227	1,323,414	776,951	664,706



CITY OF ARKADELPHIA, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - STREET FUND - REGULATORY BASIS
DECEMBER 31, 2019
(Unaudited)

Schedule 4-2

Street	2019	2018	2017	2016	2015
Total Assets	\$ 291,852	\$ 336,749	\$ 277,936	\$ 169,454	\$ 204,354
Total Liabilities	4,156	17,591	17,730	15,121	22,684
Total Fund Balances	287,696	319,158	260,206	154,333	181,670
Total Revenues	864,334	830,492	810,055	818,527	874,385
Total Expenditures	1,115,796	771,540	704,182	845,864	810,253
Total Other Financing Sources/Uses	220,000				



CITY OF ARKADELPHIA, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - OTHER FUNDS IN THE AGGREGATE - REGULATORY BASIS
DECEMBER 31, 2019
(Unaudited)

Schedule 4-3

Other Funds in the Aggregate	2019	2018	2017	2016	2015
Total Assets	\$ 1,436,481	\$ 1,269,513	\$ 1,484,351	\$ 1,622,978	\$ 1,716,794
Total Liabilities	115,370	60,581	145,734	161,722	104,502
Total Fund Balances	1,321,111	1,208,932	1,338,617	1,461,256	1,612,292
Total Revenues	1,016,799	834,306	945,779	904,921	956,957
Total Expenditures	837,365	456,934	386,768	775,038	999,596
Total Other Financing Sources/Uses	(67,255)	(507,057)	(681,650)	(358,108)	(664,706)

